

Life application: Automate savings

When it comes to savings, many people say they “just don’t get around to it” and/or they “spend whatever is in the checking account” or/they “save what is left over”. With these impediments to saving, it’s easy to see how 40% of people don’t have enough money in savings to fund an unexpected \$400 bill, such as a car repair¹. The unexpected economic impact of Covid-19 illustrates just how important it is to have an “Emergency Fund” saved up to protect yourself from unexpected financial hardship. While it takes time to build, your goal should be to have an “emergency fund” equal to 3-6 months’ worth of living expenses. Keep the emergency fund in a separate FDIC insured bank savings account where it will be safe from stock market fluctuations. The goal is to have it there when you need it. Emergencies happen.

To overcome the challenges to saving listed above, financial gurus suggest **automating** savings to the point that it 1) doesn’t require any extra thought or effort and 2) ends up at the top of your priority list, not at the bottom.

Here are a few great options to automate savings:

- Have your paycheck direct deposited into multiple accounts: checking AND savings
- Consider using multiple savings accounts for your various goals (one for emergency fund, one for vacations, one for down payment on a house, etc.). Nickname the accounts based on your goal for the money. (e.g. “Vacation”. “House down payment”, “New car”, etc.) Naming the goal provides psychological motivation to keep adding to it.
- Use your bank’s website or app to schedule recurring, automatic transfers to savings account(s). Most banks allow you to transfer very small amounts of money (as low as \$1) as often as once a day, for FREE. These automated transfers make saving effortless.
- Some banks are starting to offer “round up” features, whereby every time you use your debit card, the “change” is swept into your savings account. For example, if you purchase something for \$5.30, your account is debited for \$6.00, and the \$0.70 of change is automatically transferred into your savings account. This is the digital twist to having an old-fashioned “change jar”.

If your bank doesn’t offer automated transfers to saving, you might want to explore savings apps that help you save such small amounts of money that you won’t miss them. The beauty of this strategy is that small amounts tend to add up over time. The drawback is that these apps usually charge a small monthly fee, so check for free features at your bank, first. If you can do the same thing for free, don’t throw your money down the drain by paying app fees. Examples:

- Acorns- automatically rounds up all purchases made using your debit card to a round dollar amount and saves the “change”.
- Digit- automatically sweeps small amounts of money out of your checking account into a savings/investing account several times a week based on prespecified thresholds and your spending patterns.

Finally, consider signing up to get emails containing money saving tips from Clark Howard, at Clark.com. He’s a well-known consumer advocate.

¹ <https://www.federalreserve.gov/publications/2019-economic-well-being-of-us-households-in-2018-dealing-with-unexpected-expenses.htm>

Life application task

Key objective: Explore automatic savings strategies to determine which will work best for you.

1. Find out if your employer will split your payroll into multiple accounts. Consider initiating the process by filling out the authorization form to direct a portion of your paycheck into a savings account.

_____ No current job _____ Inquired with payroll dept. _____ Started process

2. Find out if your bank's website or app allows for automated transfers. My Chase app has multiple options. Don't just look under one-time transfers. Look for something like "autosave". Record your research here (check all that are available):

_____ My bank does NOT have recurring automated transfer options

_____ Allows automated transfers on a daily basis, as low as \$_____ per day

_____ Allows automated transfers of _____ every time you have a deposit over _____

_____ Allows automated transfers of _____ on a set schedule
(such as every week, 2 weeks, month, 2x per month)

3. Now that you know about your bank's free automated transfer options, do you plan to make use of them? No: _____ OR Yes _____ Briefly explain, or outline your plan here (without disclosing specific dollar amounts).

4. Perform a Google search of "best savings apps" and choose one to review. Either go to the website, or look at an online review of that app. Record a few notes about it here. The pros and cons should be from *your* perspective so that you can decide whether you would want to use it or not.

App selected: _____

General idea:	
Pros:	
Cons:	
Free? Or Monthly fee:	